KEY TERMS

- **Internal Control** –A system refers to the whole system of controls, financial or otherwise, established by the management in the conduct of a business including internal check, internal audit and other forms of control.
- **Preventive Controls**– It is designed to discourage errors or irregularities from occurring.
- **Detective Controls**- It is designed to find errors or irregularities after they have occurred.
- **Narrative Record** - It is a complete and exhaustive description of the system. It is appropriate in circumstances where a formal control system is lacking, like in the case of small businesses.
- **Flow Chart** - It is a pictorial representation of the internal control system depicting its various elements such as operations, processes and controls, which help in giving a concise and comprehensive view of the organization's working to the auditor.
- **Internal Control Questionnaire:** It is the most widely used method for collecting information regarding the internal control system and involves asking questions to various people at different levels in the organization. The questionnaire is in a pre-designed format to ensure collection of complete and all relevant information.

EVALUATION

8YJCTM

I. Multiple Choice Questions:

1. Internal control is
   a. Part of internal check
   b. A part of internal audit
   c. Whole system of control employed by management
   d. Examination of reliability of transaction

2. Which of the following is used for evaluation of internal control?
   a. Internal questionnaire approach
   b. Flow chart method
   c. Narrative approach
   d. All of the above

3. Representation of the entire control system in diagram under evaluation system.
   a Flow chart method
   b Narrative approach
   c Internal questionnaire approach
   d All of the above

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